

meesho

SEASON 3

DICE CHALLENGE

PRICING ACROSS
A PRODUCT'S
LIFECYCLE: THE
NEW-TO-ONLINE
SELLER

**BUSINESS
TRACK**

The Landscape

Meesho's business is built on a broad, affordable catalogue base supplied by a very large base of small sellers, many of them from smaller towns and cities. For most of these sellers, the price they set on a product is the biggest thing in their control. It decides whether the product gets seen, whether people buy it, and whether the sale actually makes them money.

So getting pricing right isn't just the seller's problem, it matters for the whole marketplace. Well-priced products mean customers get genuine value, sellers stay profitable and active, and the catalogue stays competitive against other platforms and the offline market. Wrongly priced products - too high to sell, or too low to make money - slowly hurt all three.

The Current Reality for a New-to-Online Seller

Many sellers coming onto Meesho have spent years selling the same products offline — in a shop, a local market, or through wholesale. They have strong instincts for their products and their customers, but selling online is a different game. The buyers, the competition, the way products get discovered, and the cost structure are all new to them, and most do not have a background in how costing works on e-commerce.

As a result, pricing on day one is often a guess. Some sellers simply carry over their offline price and are surprised when nothing sells; others copy the cheapest competitor they can find and end up losing money on every order once online costs are accounted for; others price too high, never get discovered, and abandon the listing. And because pricing is treated as a one-time act of listing rather than an ongoing decision, prices often go stale, left unchanged for months even as demand, competition, and costs keep changing.

How Pricing Online Differs from the Offline Trade

Selling online changes how you price in ways the offline trade never taught. The differences that matter most for price are:

- **Competition and price sensitivity:** offline, prices were negotiated deal by deal and buyers were relatively sticky; online, many sellers list near-identical products with prices shown side by side, and customers can compare in seconds — so demand is far more sensitive to price.
- **Cost of doing business:** the true cost of a unit online differs from the offline trade. Beyond the product itself, a seller carries costs like packaging, payment handling and GST
- **Post-sale losses:** in the offline trade a sale was largely final; online, a meaningful share of dispatched orders never convert into a clean sale — through customer returns, failed or refused delivery (RTO), damage in transit, and fraud or abuse such as wardrobing, swapped items, or false "not received" claims.
- **Ability to negotiate:** offline, a seller could haggle, bundle, or cut a bulk deal to close a sale; online, the listed price is the entire negotiation — the customer simply takes it or moves on.
- **Spends to drive visibility and sales:** online, sellers can spend to be seen and to sell — through ads, affiliate or commission-based promotion, and short-term discounts that lift ranking and conversion.

Objective

“A seller who has only ever sold offline is now listing their products on Meesho. How should they decide what price to set for a product, and how should that decision evolve across the entire life of the product, so as to get the most out of it? And since not every seller has the understanding, data, or resources to do this well, how can Meesho help them?”

Challenges to Be Aware Of

Below factors make this problem hard, and a good solution has to deal with them:

- **Low pricing literacy:** many sellers do not fully understand their true online cost to serve, so even their starting point can be wrong.
- **No history to lean on:** for a brand-new product there is no sales or demand data yet, so the first price has to be set with incomplete information.

- **A moving target:** demand, competition, and costs all change over time, so a price that is right today can be wrong in a month.
- **Thin margins, low tolerance for error:** small sellers cannot easily absorb a pricing mistake, so the cost of getting it wrong is real.
- **Scale and diversity:** any help Meesho offers has to work for a huge, varied base of sellers with very different products and sophistication.

What We Expect

The core of this case is the seller's thinking: how does a seller actually arrive at a price?

- The full set of factors a seller should weigh when deciding a price, and how those factors come together into an actual number.
- How that pricing decision should change over the life of the product — what a seller should watch, and what should make them revise the price.
- A final layer: recognising that many sellers lack the understanding and resources to do this themselves, what Meesho could do to help them price well.

Submission

3-Slider Submission Round

- How a seller should reason from the relevant factors to an actual price.
- How that pricing decision should change over the life of the product.
- The core idea of how Meesho could help sellers who cannot do this on their own.

Detailed Deck Submission (6–10 slides)

- Include the Round 1 deliverables.
- The full set of factors that should drive the pricing decision, and how a seller should weigh them together to reach a price — including how they set the very first price with no sales history yet.
- How the decision should evolve over the life of the product — what signals a seller should watch, and what should trigger a change in price.
- How Meesho could support sellers who lack the resources to do this — the solution, how a seller would use it, and the reasoning behind it.
- How you would measure success, and the key risks.

Evaluation Criteria

3-Slider Submission Round:

1. Extent of Research – Methods, Sources, Coverage
2. Quality of Insights
3. User-First / Stakeholder-First Approach
4. Problem-First Mindset

Detailed Deck Submission:

1. Quality of Research – Methods, Sources, Coverage
2. Depth of Analysis
3. Innovativeness of Recommendations
4. 10x and Long-term Thinking
5. Feasibility of Implementation
6. Presentation Skills

Good luck! We look forward to seeing how you tackle this challenge and come up with innovative ideas for Meesho's growth and success.